

Chapter 8

E-Marketing

Learning Outcomes

- Assess the need for separate e-business and e-marketing strategies
- Create an outline e-marketing plan intended to implement the e-marketing strategy
- Distinguish between marketing communication characteristics of traditional and new media.

Management Issues

- How do we integrate traditional marketing approaches with e-marketing?
- How can we use electronic communications to differentiate our products and services?
- How do we redefine our marketing and communications mixes to incorporate new media?

E-Marketing

- The definition of marketing by the Chartered Institute of Marketing (<http://www.cim.co.uk/>) is:

Marketing is the management process responsible for identifying, anticipating and satisfying customer requirements profitably

- *Which e-marketing tools can assist?*
 - *Web, e-mail, databases, wireless and digital television*

How Do E-Tools Support Marketing?

- Identifying
 - how can the Internet be used for marketing research to find out customers' needs and wants?
- Anticipating
 - we have seen in *Chapter 5* that anticipating the demand for digital services(the online revenue contribution) is key to governing the resource allocation to e-business.
- Satisfying
 - a key issue for e-marketing is how to achieve customer satisfaction through the electronic channel; this raises issues such as: is the site easy to use, does it perform adequately,what is the standard of associated customer service and how are physical products dispatched?

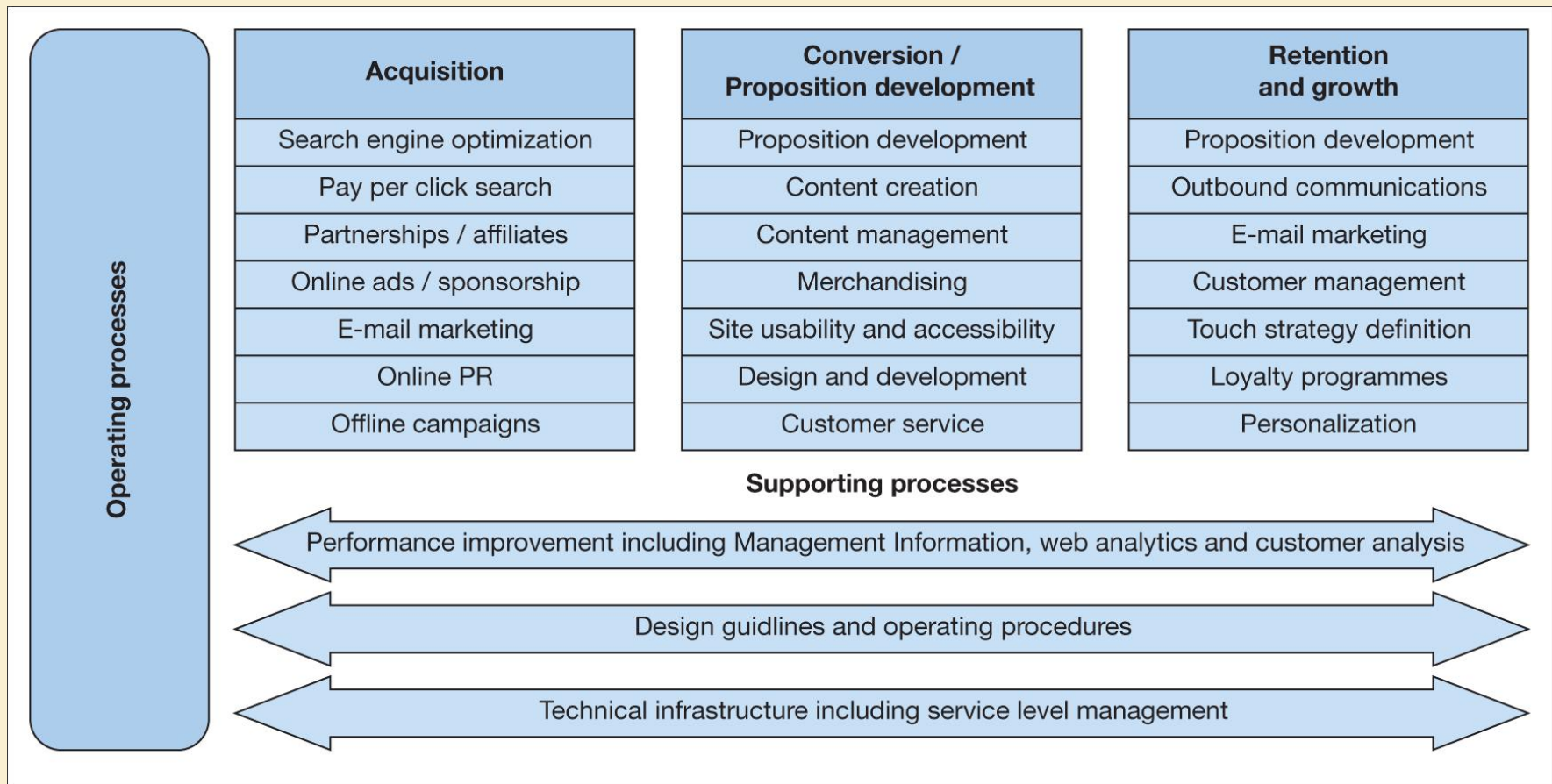


Figure 8.1 The operational and management processes of e-marketing

Source: Econsultancy (2008)

Figure 8.1

shows that there are three main operational processes involved in e-marketing. These are:

- ① **Customer acquisition.** Attracting visitors to a web site or promoting a brand through reaching them via search engines or advertising on other sites.
- ② **Customer conversion.** Engaging site visitors to achieve the outcomes the site owner seeks such as leads, sales or browsing of other content. Developing a satisfactory customer experience is vital to this.
- ③ **Customer retention and growth.** Encouraging repeat usage of digital channels and for transactional sites, repeat sales.

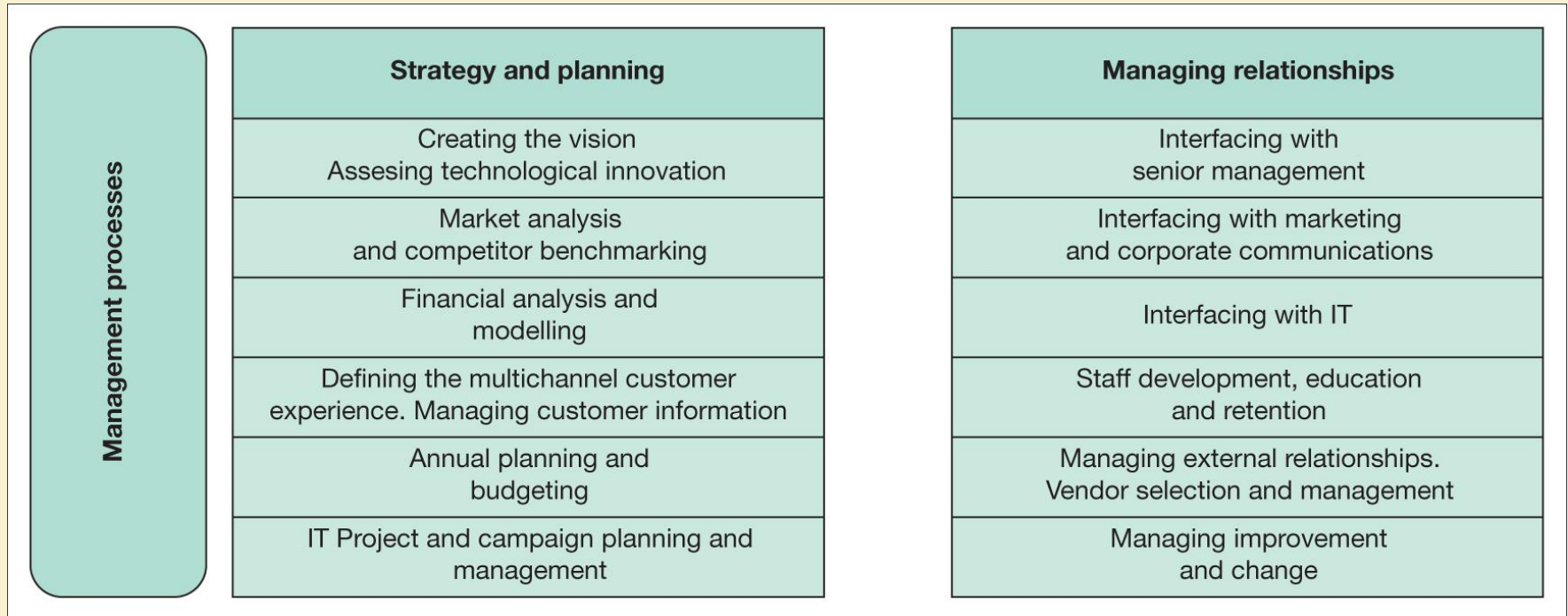


Figure 8.1 The operational and management processes of e-marketing
(Continued)

Source: Econsultancy (2008)

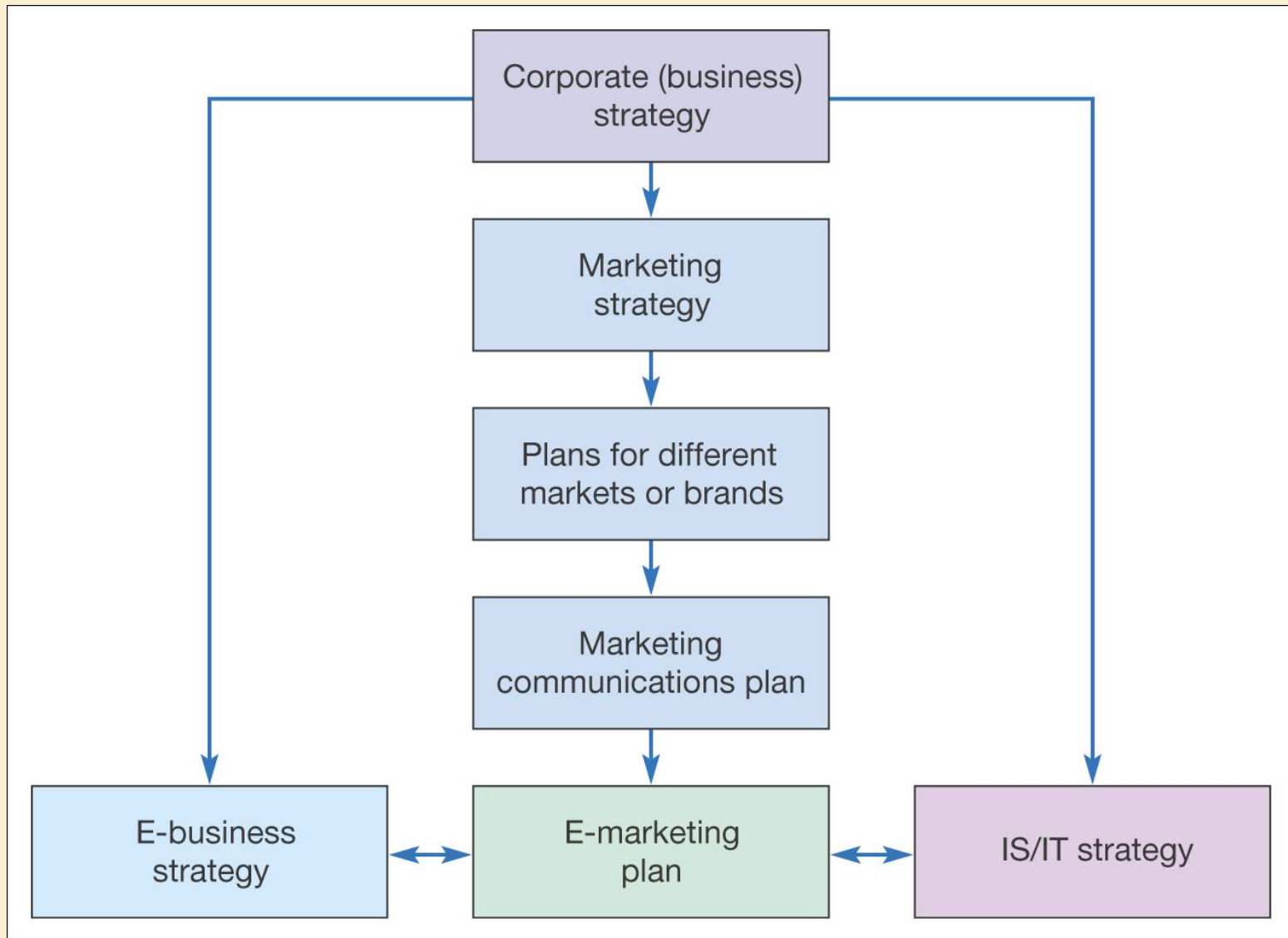


Figure 8.2 The e-marketing plan in the context of other plans

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- *Figure 8.2* shows that typically there is a hierarchy of plans in an organization with the corporate or business plan informing the marketing plan and this then informing specific market plans for different products or geographical markets.
- There is usually a separate communications plan which details the marketing campaigns that need to be executed to achieve the marketing objectives from the marketing plan.

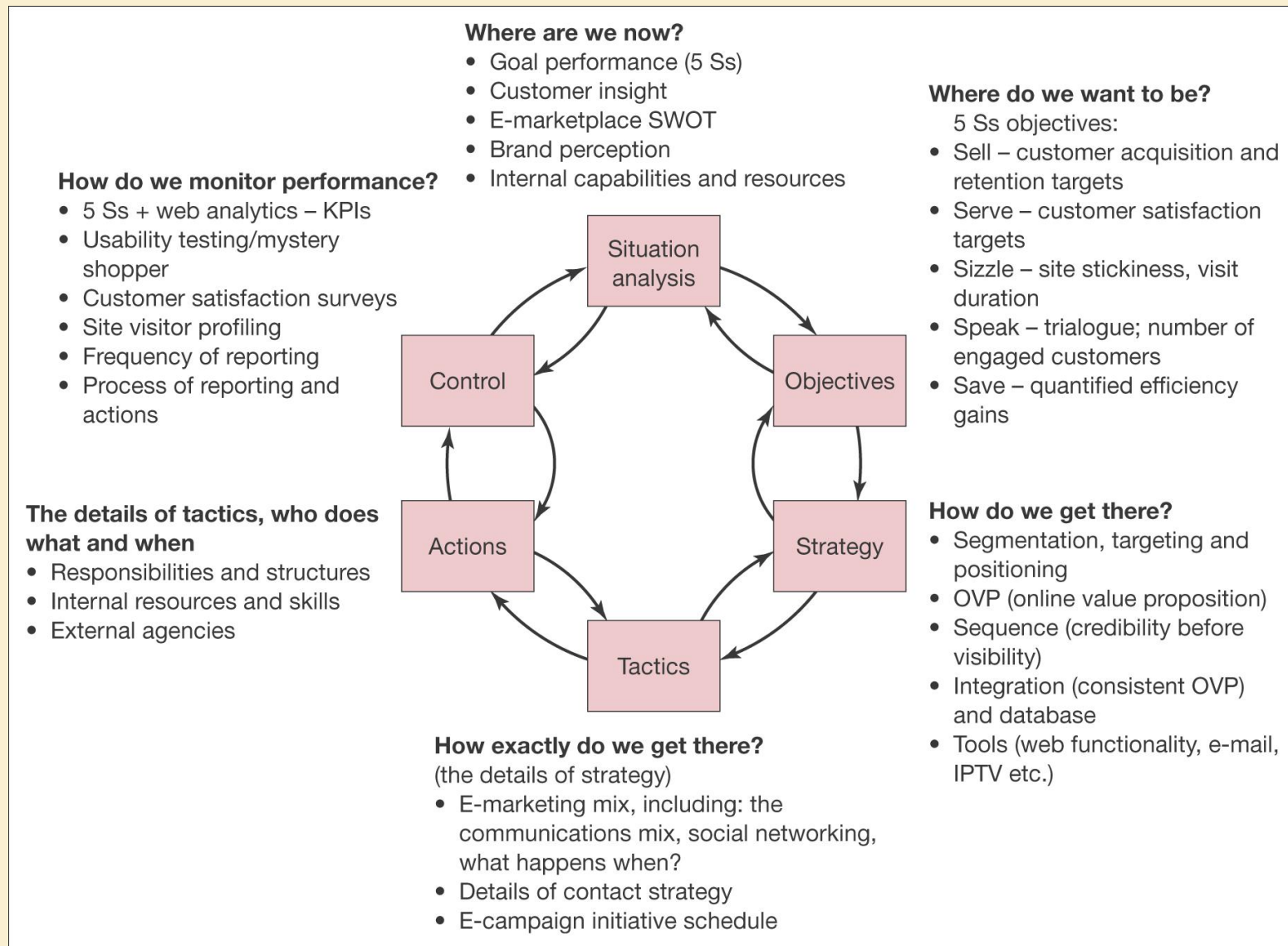


Figure 8.3 SOSTAC™ – a generic framework for e-marketing planning

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- We will use a similar strategy process model for e-marketing planning to that introduced in *Chapter 5*. In this chapter we use the SOSTAC™ framework developed by Paul Smith (1999) and this summarizes the different stages that should be involved in a marketing strategy from strategy development to implementation (*Figure 8.3*).

The stages involved can be summarized as:

- Situation – where are we now?
- Objectives – where do we want to be?
- Strategy – how do we get there?
- Tactics – how exactly do we get there?
- Action – what is our plan?
- Control – did we get there?

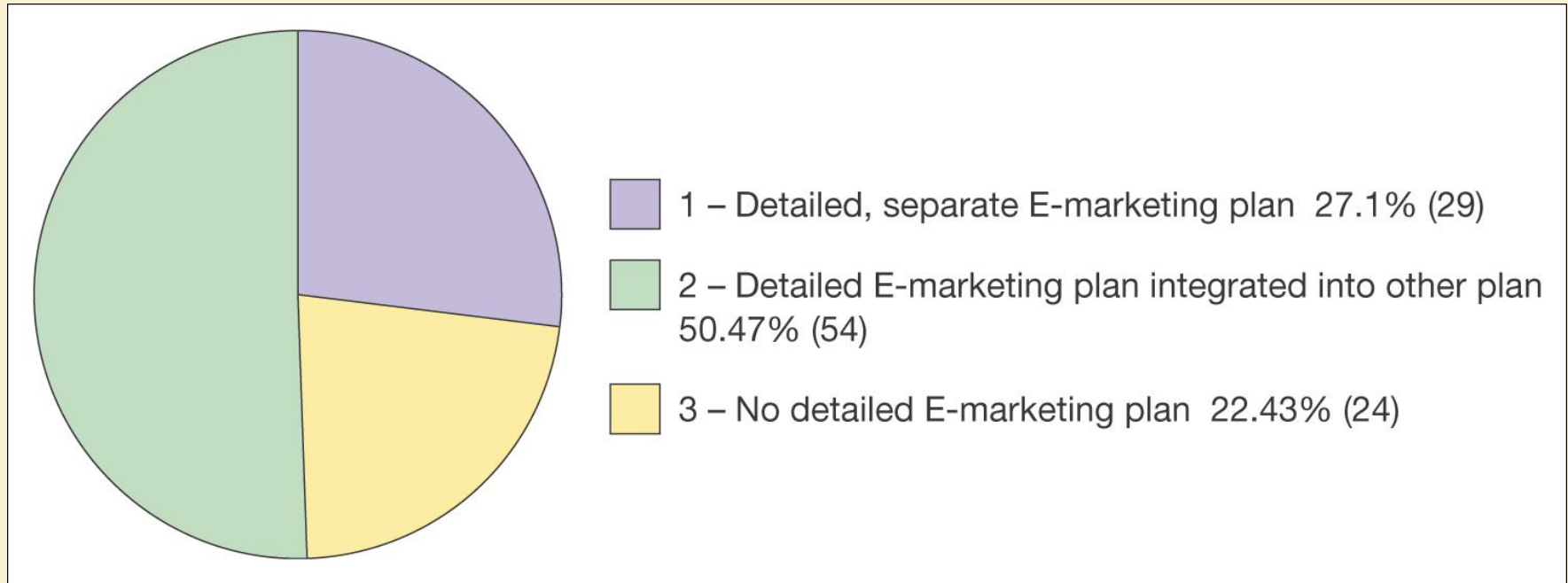


Figure 8.4 Usage of detailed e-marketing plans in e-commerce organizations

Source: Econsultancy (2008)

Figure 8.4 Usage of detailed e-marketing plans in e-commerce organizations

- ⦿ as an international e-consultancy survey of e-commerce managers shows (*Figure 8.4*).
- ⦿ In the longer term, once an organization has successfully defined its approaches to Internet marketing, it is likely that a separate Internet marketing strategy or e-marketing plan *will not* need to be developed each year since the Internet can be considered as any other communications medium and integrated into existing communications plans as suggested by *Figure 8.4*.

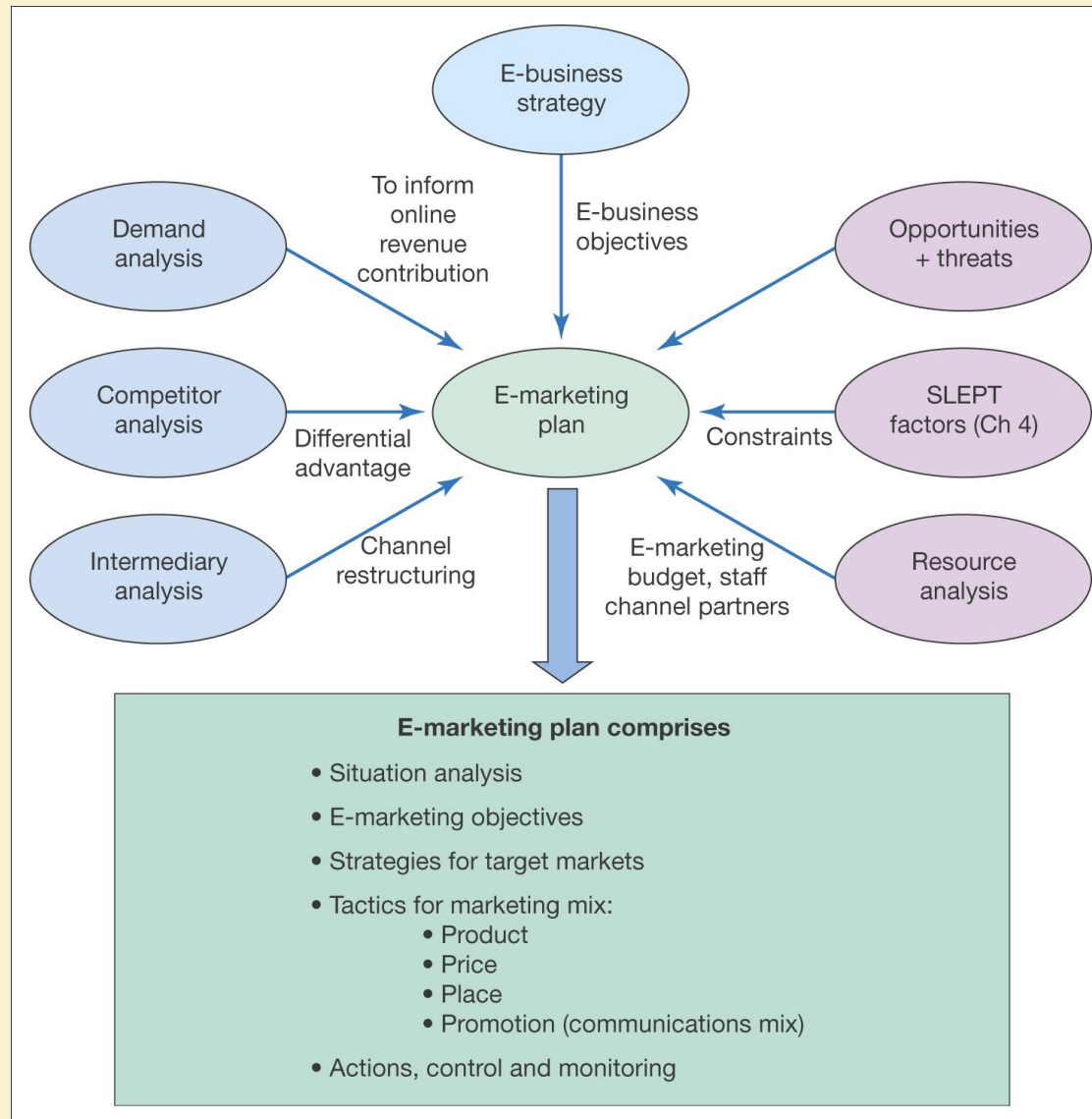


Figure 8.5 Inputs to the e-marketing plan from situation analysis

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- *Figure 8.5* shows the inputs from situation analysis that inform the e-marketing plan. These mainly refer to a company's external environment.
- The study of an organization's online environment was introduced in *Figure 2.1* and *Figure 2.3* where it was noted that there was the immediate (micro-)environment of customers, competitors, suppliers and intermediaries and a broader (macro-)environment of social, legal, political, economic and technological characteristics.
- Situation analysis will involve consideration of all of these factors and will form the basis for defining objectives, strategies and tactics. Consideration of the SLEPT or macro-environment factors is a major topic that is covered in *Chapter 4*. In this chapter we will concentrate on what needs to be analyzed about the more immediate marketplace in terms of customers, competitors, intermediaries and market structure.
- An internal audit of the capability of the resources of the company such as its people, processes and technology also needs to take place.
- In *Chapter 5* we introduced the use of a SWOT analysis for an organizations' digital channels.
- The SWOT can be used to summarize the range of analyses covered in this section.
- *Figure 8.6* gives an example of a typical Internet SWOT

Demand Analysis Questions

- What percentage of customer businesses have access to the Internet?
- What percentage of members of the buying decision in these businesses have access to the Internet?
- What percentage of customers are prepared to purchase your particular product online?
- What percentage of customers with access to the Internet are not prepared to purchase online, but are influenced by web-based information to buy products offline?
- What is the popularity of different online customer engagement devices such as Web 2.0 features such as blogs, online communities and RSS feeds?
- What are the barriers to adoption amongst customers of different channels and services and how can we encourage adoption?

The organization	Strengths – S - Existing brand - Existing customer base - Existing distribution	Weaknesses – W - Brand perception - Intermediary use - Technology/skills (poor web experience) - Cross-channel support - Churn rate
Opportunities – O - Cross-selling - New markets - New services - Alliances/co-branding	SO strategies Leverage strengths to maximise opportunities = attacking strategy Examples: - Migrate customers to web strategy - Refine customer contact strategy across customer lifecycle or commitment segmentation (e-mail, web) - Partnership strategy (co-branding, linking) - Launch new web-based products or value-adding experiences, e.g. video streaming	WO strategies Counter weaknesses through exploiting opportunities = build strengths for attacking strategy Examples: - Countermediation strategy (create or acquire) - Search marketing acquisition strategy - Affiliate-based acquisition strategy - Refine customer contact strategy (e-mail, web)

Figure 8.6 Example SWOT analysis

Threats – T 1 Customer choice (price) 2 New entrants 3 New competitive products 4 Channel conflicts 5 Social network	ST strategies Leverage strengths to minimize threat = defensive strategy Examples: 1 Introduce new Internet-only products 2 Add value to web services – refine OVP 3 Partner with complementary brand 4 Create own social network/customer reviews	WT strategies Counter weaknesses and threats: = build strengths for defensive strategy Examples: 1 Differential online pricing strategy 2 Acquire/create pure-play company with lower cost-base 3 Customer engagement strategy to increase conversion, average order value and lifetime value 4 Online reputation management strategy/E-PR
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Figure 8.7 Example SWOT analysis (Continued)

Activity

Competitor Analysis

- You are an e-commerce manager within the AA or a similar motoring organization
 - Which criteria would you use to compare a competitor's online offering?
 - Group them under five or six headings
 - Conduct an assessment of your services against competitors such as RAC and Green Flag
 - Products – car breakdown cover, insurance.

Benchmarking Organizational E-Marketing Capabilities

- *Financial performance* – current profitability of e-channel activities
- *Marketplace performance* – market share and sales trends and significantly the proportion of sales achieved through the Internet.
- *Business and revenue models* – do these differ from other marketplace players?
- *Marketing communications techniques* – is the customer value proposition of the site clear? Does the site support all stages of the buying decision from customers who are unfamiliar with the company through to existing customers? Are special promotions used on a monthly or periodic basis? Beyond the competitor's site, how do they make use of intermediary sites to promote and deliver their services?

Benchmarking Organizational E-Marketing Capabilities (Continued)

- *Services offered* – what is offered beyond brochureware? Is online purchase possible, what is the level of online customer support and how much technical information is available?
- *Implementation of services* – these are the practical features of site design such as aesthetics, ease of use, personalization, navigation and speed.
- The 7Ps

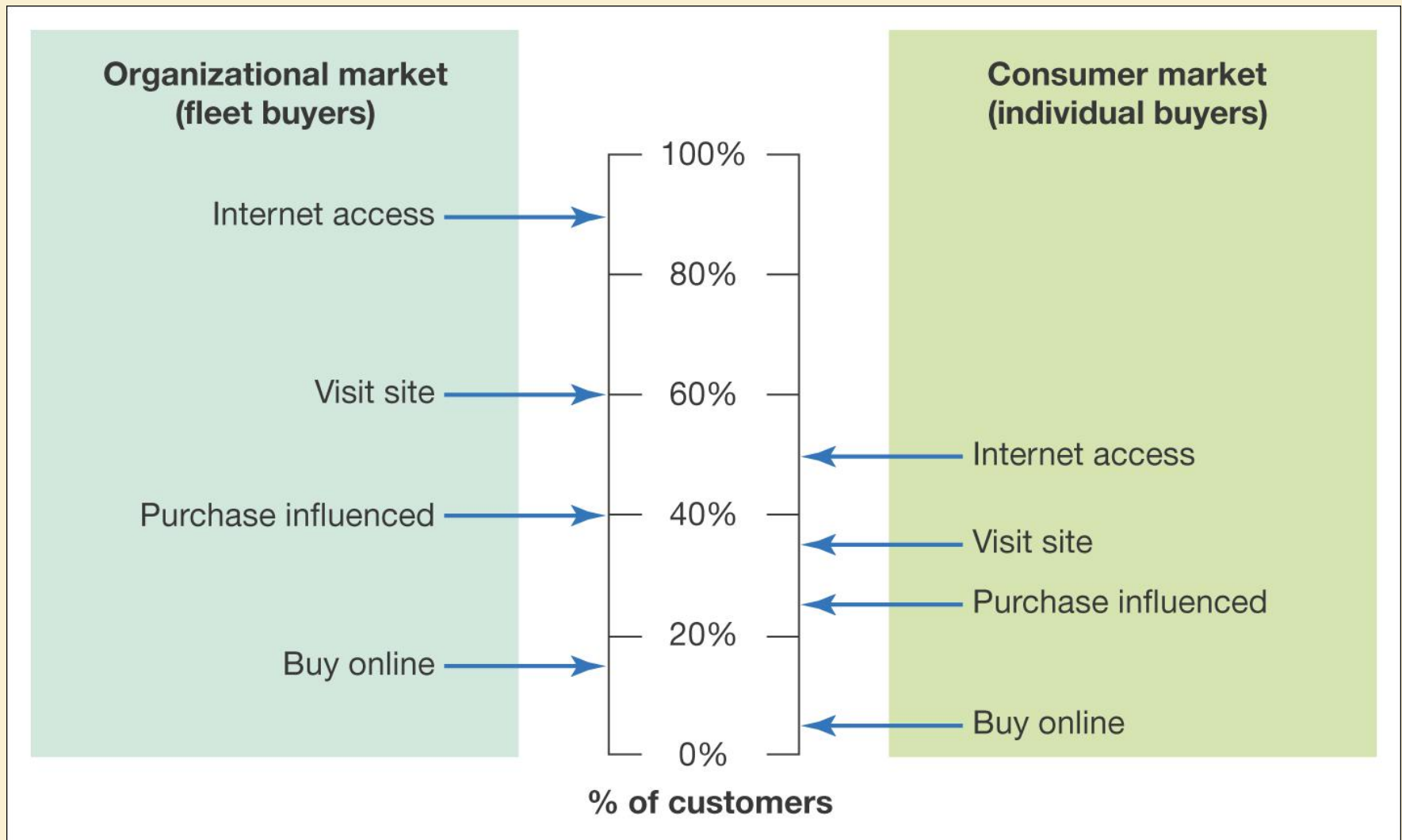


Figure 8.7 Customer demand analysis for the car market

Pos	Company	Construction	Message	Contact	Serving society	Serving investors	Serving the media	Serving job seekers	Serving customers	Total	URL	Country
	maximum score	60	48	12	32	32	32	32	32	280		
1	Siemens	47	40	10	27	21	28	24	24	221	www.siemens.com	Germany
2	Royal Dutch Shell	46	41	7	26	22	21	24	22	209	www.shell.com	Netherlands
3	BP	41	39	10	28	27	18	19	25	207	www.bp.com	UK
4	Nokia	44	36	8	26	24	24	16	25	203	www.nokia.com	Finland
5	AstraZeneca	48	33	9	20	20	27	16	27	200	www.astrazeneca.com	France
	Total	44	39	11	25	27	12	22	21	200	www.total.com	UK/Sweden
7	IBM	41	36	11	23	26	26	12	24	199	www.ibm.com	US
8	ING	43	40	8	22	25	21	16	22	197	www.ing.com	Netherlands
9	UBS	37	36	6	20	27	22	26	20	194	www.ubs.com	Switzerland
10	General Electric	42	37	10	25	17	19	17	24	191	www.ge.com	US

Figure 8.8 Benchmark comparison of corporate websites

Source: Bowen Craggs & Co (www.bowencraggs.com)

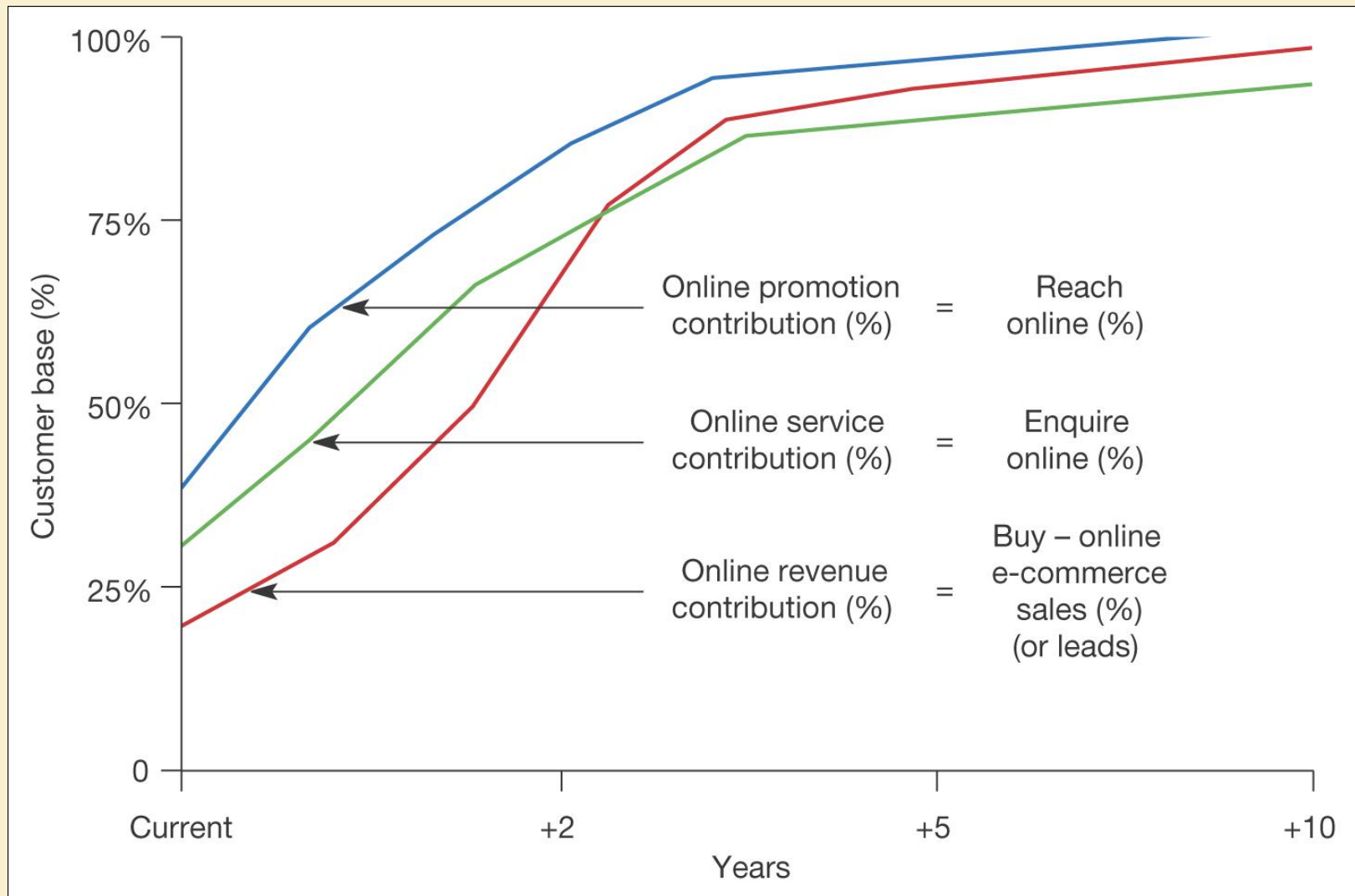


Figure 8.9 Assessment of the future online promotion contribution and online revenue for a B2B company, for Product A, Europe



Figure 8.10 easyJet web site
Source: www.easyjet.com

Objectives	Substantiation (informed by situation analysis or insight, example)	Strategies to achieve goals	Key performance indicators (critical success factors)
1. <i>Acquisition objective.</i> Acquire 50,000 new online customers this financial year at an average cost per acquisition (CPA) of £30 with an average profitability of 5%	Based on growth forecast based on current sales of 40,000 sales per year, but with incremental sales arising from new affiliate programme and SEO development	Start affiliate marketing programme and improve SEO. Existing media mix based on pay-per-click and display advertising supported by offline media	Overall CPA for online sales. Incremental number and % of sales from affiliate marketing programme Number of strategic keywords ranked for in top positions in natural search results page
2. <i>Acquisition (or conversion) objective.</i> Migrate 40% of existing customers to using online 'paperless' bill payment services services and e-mail communications within 3 years	Extrapolation of current natural migration coupled with increased adoption from offline direct marketing campaign	Direct marketing campaign using direct mail, phone prompts and online persuasion to encourage adoption. Use of incentive to encourage change	Number and percentage of existing customers registering to use online service Number and percentage of customers actively using online services at different points after initially registering
3. <i>Conversion objective.</i> Increase the average order value of online sales to £42 per customer	Growth estimated based on current AOV of £35 plus model suggesting 20% increase in AOV	Use of new merchandizing system to show users related 'next best product' for different product categories	% of site visitors responding to merchandising / cross-selling messages

Table 8.3 The relationship objectives, strategies and performance indicators for a B2B company (in order of priority)

Objectives	Substantiation (informed by situation analysis or insight, example)	Strategies to achieve goals	Key performance indicators (critical success factors)
4. <i>Conversion objective.</i> Increase site conversion rate to 3.2%	Model showing separate increase in conversion for new and existing customers based on strategies shown on the right	Combination of strategies: • Incentivized e-mail follow-up on checkout abandonments for new customers • Introduction of more competitive pricing strategy on best sellers • AB and multivariate messaging improvement of landing pages • Refinement to quality of traffic purchased through pay-per-click programme	Variations in conversion rates for new and existing customers in different product categories
5. <i>Retention objective.</i> Increase annual repeat new customer conversion rate by 20%	Business case based on limited personalization of offers to encourage repeat purchases via e-mail.	• Delivery of personalized product offers by e-mail • 5% second purchase discount voucher	• Increased conversion rate of retention e-mail contact programme • Conversion to sale for second purchase discount campaigns
6. <i>Growth objective.</i> Increase new prospects recommended by friends (viral marketing or 'member get member') by 10,000 per annum	Model based on encouraging 2% of customers to recommend friends annually (based on trial scheme)	Supported by direct mail and e-mail recommendation programme	• Response rate to direct mail campaign

Table 8.3 The relationship objectives, strategies and performance indicators for a B2B company (in order of priority) (Continued)

Another Approach To Goal Setting

- *Business effectiveness.* Contribution of site to revenue (see objective setting), profitability and any indications of the corporate mission for the site. The costs of producing and updating the site will also be reviewed, that is cost-benefit analysis
- *Marketing effectiveness.* These measures may include:
 - leads; sales; retention; market share; brand enhancement and loyalty;
- *Customer service*
 - These measures will be assessed for each of the different product lines delivered through the web site. The way in which the elements of the marketing mix are utilized will also be reviewed.

Another Approach To Goal Setting (Continued)

- *Internet effectiveness.* These are specific measures that are used to assess the way in which the web site is used, and the characteristics of the audience
 - Such measures include specialist terms such as hits and page impressions that are collected from the log file, and also more typical techniques such as focus groups and questionnaires to existing customers. From a marketing point of view, how clear the value proposition of the site is for the customer should be noted

Balanced scorecard sector	Efficiency	Effectiveness
Financial results (business value)	• Channel costs • Channel profitability	• Online contribution (direct) • Online contribution (indirect) • Profit contributed
Customer value	• Online reach (unique visitors as % of potential visitors) • Cost of acquisition or cost per sale (CPA or CPS) • Customer propensity to defect	• Sales and sales per customer • New customers • Online market share • Customer satisfaction ratings • Customer loyalty index
Operational processes	• Conversion rates • Average order value • List size and quality • E-mail-active %	• Fulfilment times • Support response times
Innovation and learning (people and knowledge)	• Novel approaches tested • Internal e-marketing education • Internal satisfaction ratings	• Novel approaches deployed • Performance appraisal review

Table 8.4 Example Internet marketing objectives within the balanced scorecard framework for a transactional e-commerce site

Examples of SMART E-Marketing Objectives

- Start-ups – acquiring a specific number of new customers or to sell advertising space to generate a specified revenue that will hopefully exceed investment in site creation and promotion!
- Established mobile phone operator – increase customer retention by reducing churn from 25% to 20%
- Established media company – increase online revenue, target of 20% online contribution to revenue by offering new online services and media sales.

Examples of SMART E-Marketing Objectives (Continued)

- Established business-to-business engineering company – increase overall revenue by 5%, through targeting sales in new international markets.
- Reduce costs of routine customer service by 10% to enable focus on delivery of specialized customer service.

Type of digital marketing strategy initiative	Commentary	Examples of strategy implementation
1. New customer proposition (Product, Place and Pricing)	These are new site features or other online communications which are directly related to offering new products or services, potentially from new locations that will generate revenue.	• Bank – introduce new product requiring different quotes • Portal – introduce comparison service • Service company – introduce new functionality acquired through takeover of company • Magazine or music service offering new pricing options • See also channel integration initiatives
2. Customer acquisition strategic initiatives	These are strategic projects to enhance a site's capability to deliver new prospects on a continuous basis through different online marketing techniques. They may involve investment in the site itself (e.g. SEO) or the back-end, integrating with affiliates.	• SEO • PPC • Affiliate marketing • Aggregators • Enhance page type (to help increase conversion rate), e.g. category or product landing pages

Table 8.5 Summary of typical focus for main types of e-commerce-related strategic initiatives

Type of digital marketing strategy initiative	Commentary	Examples of strategy implementation
3. Customer conversion and customer experience strategic initiatives	Investments in new customer features on the site. These will be based on a business case of increased conversion rate and average order value. May include major new functionality such as that for a new online store or more specific functionality integrated into existing site functionality. Many strategic initiatives are aimed at improving the customers' experience of a brand.	• Implement online shop / secure payment • Introduce customer reviews and ratings • Merchandising capability to offer tailored promotions • Interactive tools to help product selection • Refine on-site search engine • Buyers guides consisting of in-depth content about products or rich media (e.g. videos showcasing products)
4. Customer development and growth strategic initiatives	Investments to improve the experience and delivery of offers to existing customers.	• Personalized recommendations for existing customers • Development of e-mail welcome strategy for new online customers as part of development of an integrated contact or e-CRM strategy deliver through personalized web and e-mail messages and traditional direct communications. • Introduce blogs or RSS feeds to encourage return visitors • Introduce more participation through customer communities

Table 8.5 Summary of typical focus for main types of e-commerce-related strategic initiatives (Continued)

Type of digital marketing strategy initiative	Commentary	Examples of strategy implementation
5. Channel integration initiatives	These may reference any of the strategies above.	• Offline retailer launches 'click and reserve' service • Digital facilities introduced in-store • Integration of mobile marketing into direct mail or e-mail campaigns
6. Enhance marketing capabilities through site infrastructure improvements	These typically involve ('back-end or back-office features') which won't be evident to users of the site, but will help in the management or administration of the site. Will often involve improving customer insight capabilities.	• CRM or personalization • Content management system • Performance improvement – improve management information, web analytics systems including systems for multivariate and AB Testing. • Improve customer feedback or other customer survey facilities • Update development approach for introducing new functionality

Table 8.5 Summary of typical focus for main types of e-commerce-related strategic initiatives (Continued)

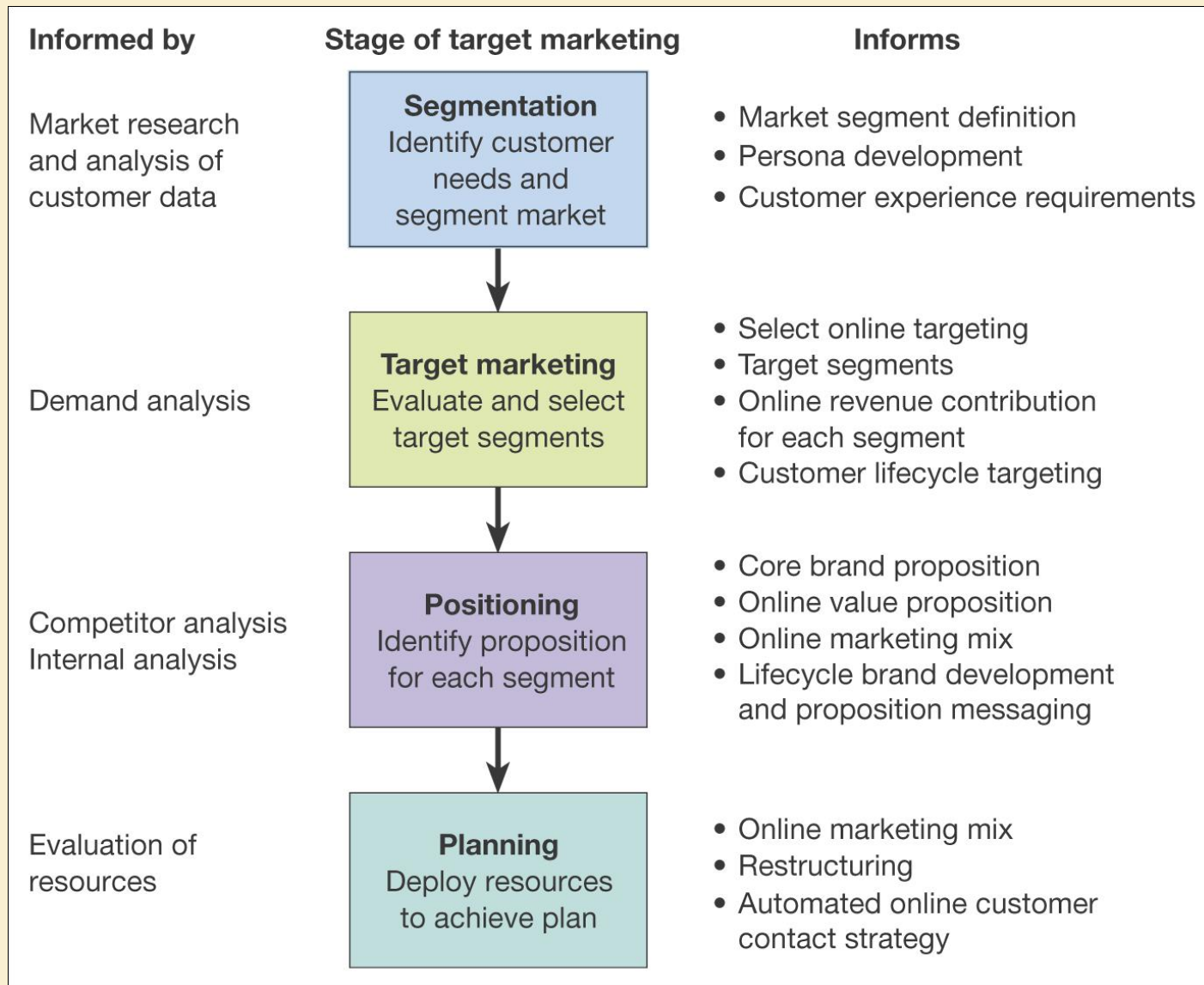


Figure 8.11 Stages in target marketing strategy development

De Kare-Silver ES Test

1. Product characteristics. Does the product need to be physically tried, or touched before it is bought?
2. Familiarity and confidence. Considers the degree the consumer recognizes and trusts the product and brand
3. Consumer attributes. These shape the buyer's behaviour – are they amenable to online purchases in terms of access to the technology skills available and do they no longer wish to shop for a product in a traditional retail environment?

Product	1 Product characteristics (10)	2 Familiarity and confidence (10)	3 Consumer attributes (30)	Total
Groceries	4	8	15	27
Mortgages	10	1	4	15
Travel	10	6	15	31
Books	8	7	23	38

De Kare-Silver states that any product scoring over 20 has good potential, since the score for consumer attributes is likely to increase through time. Given this, he suggests companies will regularly need to review the score for their products.

Table 8.6 Product scores in de Kare-Silver (2000), Electronic Shopping Potential Test

Online Value Proposition

- A clear differentiation of the proposition from competitors based on product features or service quality.
- Target market segment(s) that the proposition will appeal to.
- How the proposition will be communicated to site visitors and in all marketing communications. Developing a tag line can help this.

Online Value Proposition (Continued)

- How the proposition is delivered across different parts of the buying process
- How the proposition will be delivered and supported by resources – is the proposition genuine? Will resources be internal or external?

Example OVPs

- *'Compare. Buy. Save'*. Kelkoo (www.kelkoo.com)
- *'Earth's biggest selection'*. Amazon (www.amazon.com)
- *'Search the largest inventory of cars and trucks on the Internet. More than 1.5 million listings, updated daily'* (www.autotrader.com)
- The Citibank site design (www.citibank.com) uses a range of techniques to illustrate its core proposition and OVP. The main messages are
 - *Welcome to Citibank: The one-stop solution for all your financial needs*
 - *Look for a product or service; Learn about a financial product; Find a location.*

Targeting variable	Examples of segments and potential online targeting attributes
1. Relationship with company	New contacts (prospects), existing customers, lapsed customers
2. Demographic segmentation	B2C: Age, sex, social group, geographic location B2B: Company size, industry served, individual members of decision making unit
3. Psychographic or attitudinal segmentation	Attitudes to risk and value when buying, e.g. early adopter, brand loyal or price conscious
4. Value	Assessment of current or historical value and future value
5. Lifecycle stage	Position in lifecycle, related to value and behaviour, i.e. time since initial registration, number of products purchased, categories purchased in
6. Behaviour	• Search term entered into search engine • Responsiveness to different types of offers (promotion or product type) • Responsiveness to campaigns in different channels (channel preference) • Purchase history in product categories including recency, frequency and monetary value (<i>Chapter 9</i>)

Table 8.7 A range of targeting and segmentation approaches for a digital campaign

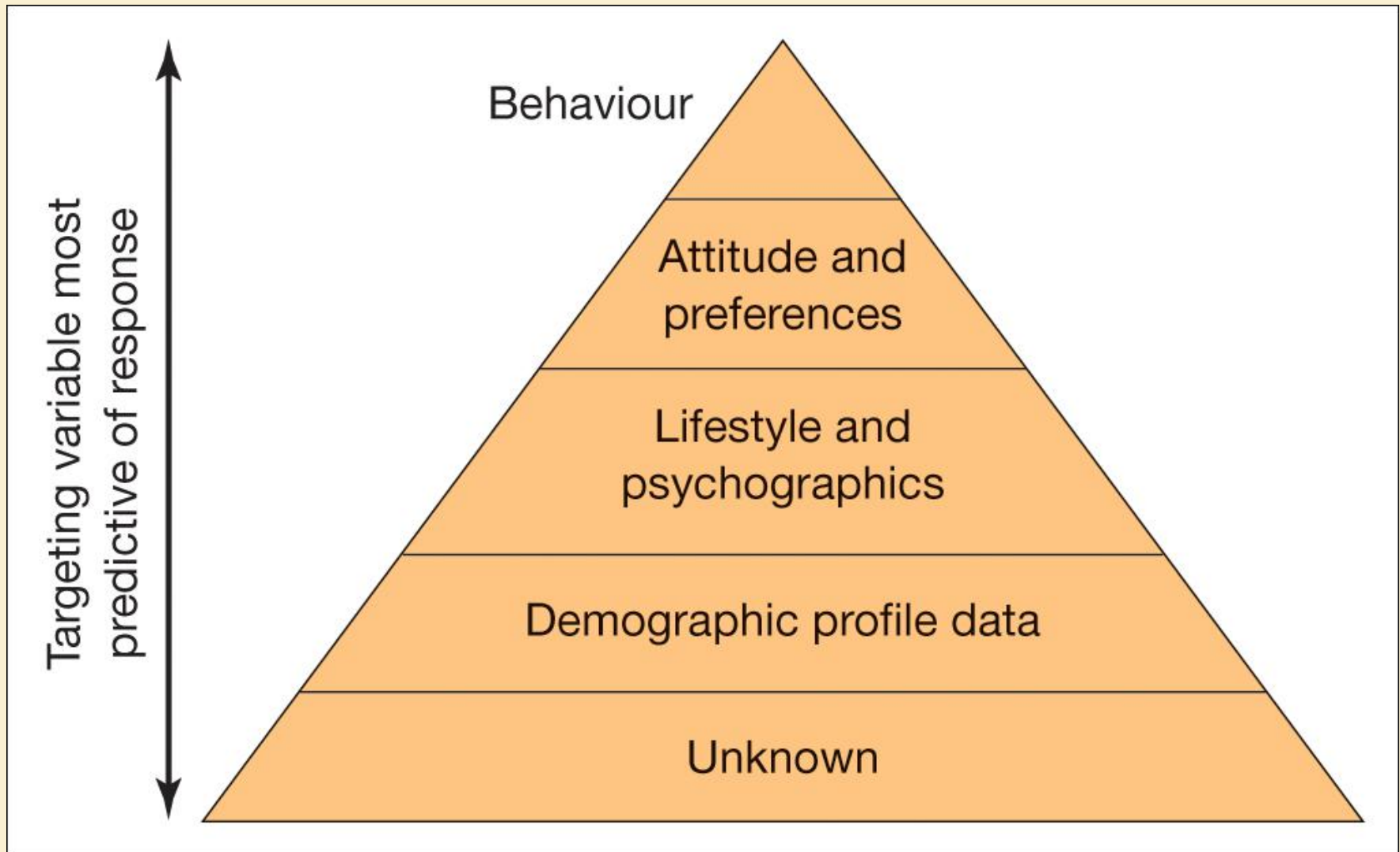


Figure 8.12 The extent to which different types of segmentation variables tend to be predictive of response

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Figure 8.13 Firebox

Source: www.firebox.com

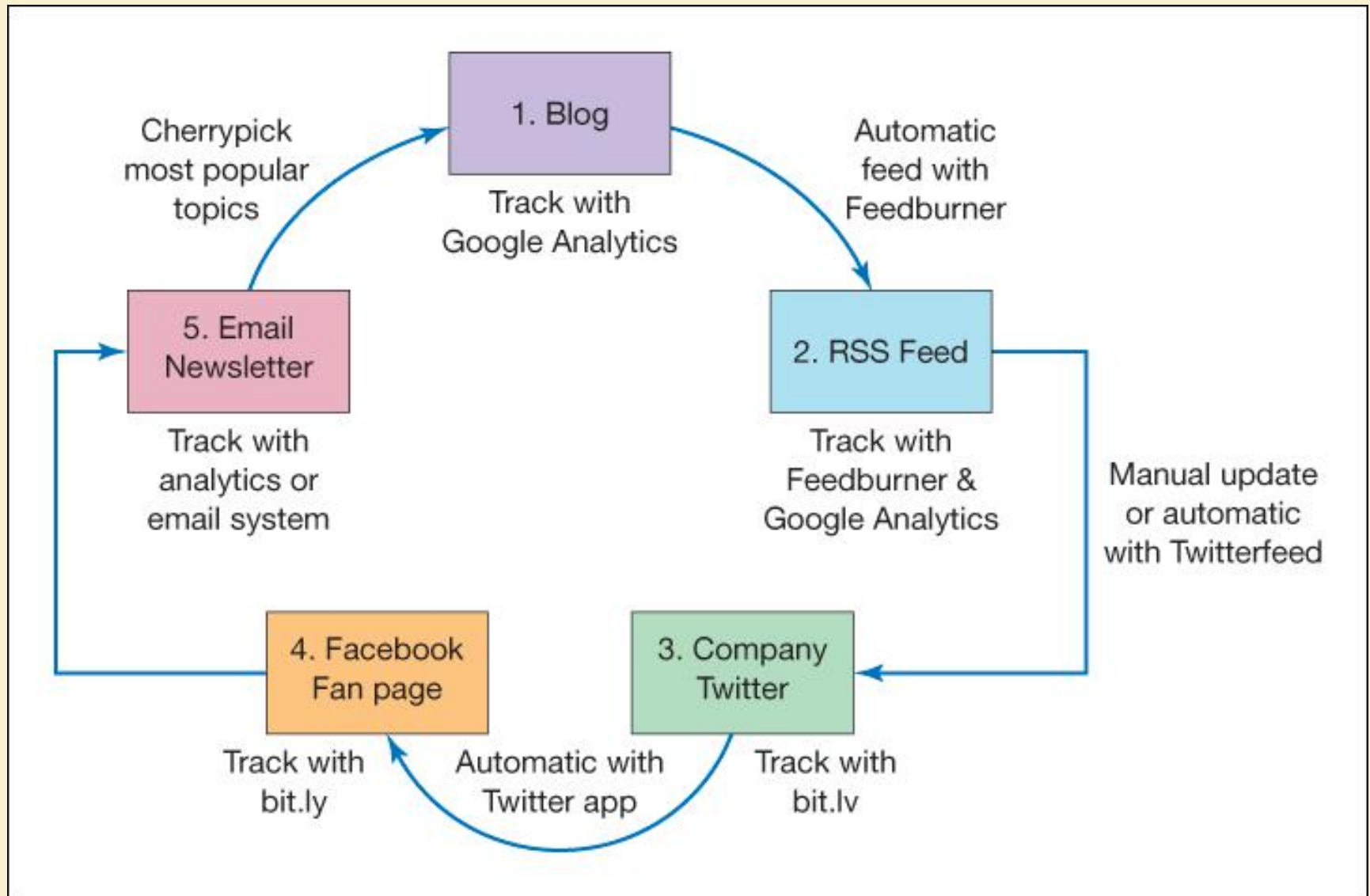


Figure 8.14 Content publication and syndication process

Source: Smart Insights (2011) The best tools and tracking techniques to save time on your social syndication. Dave Chaffey, 18 January 2011. <http://www.smartinsights.com/blog/digital-marketing-strategy/tools-tracking-social-syndication>

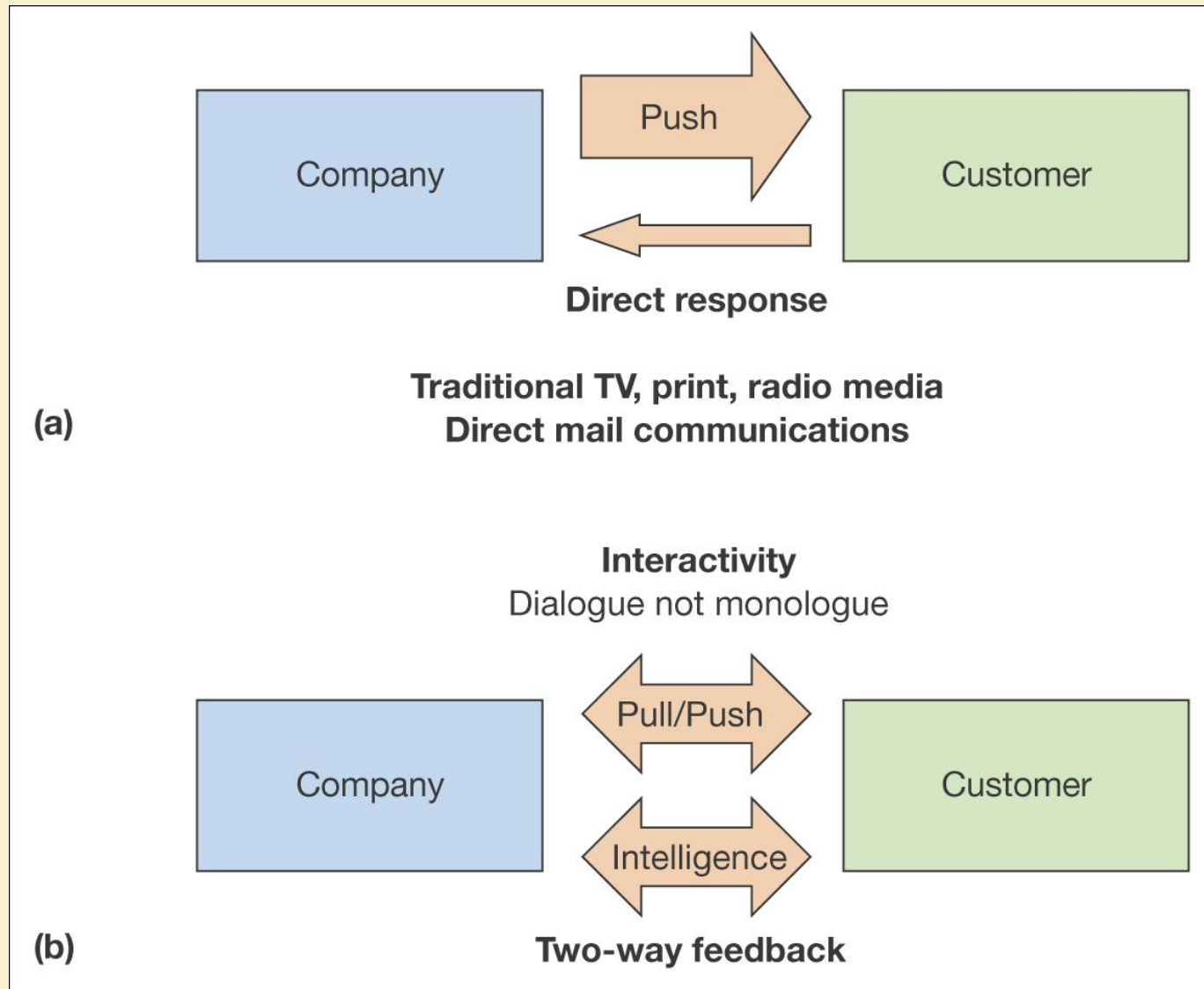


Figure 8.15 Summary of communication models for: (a) traditional media, (b) interactive media

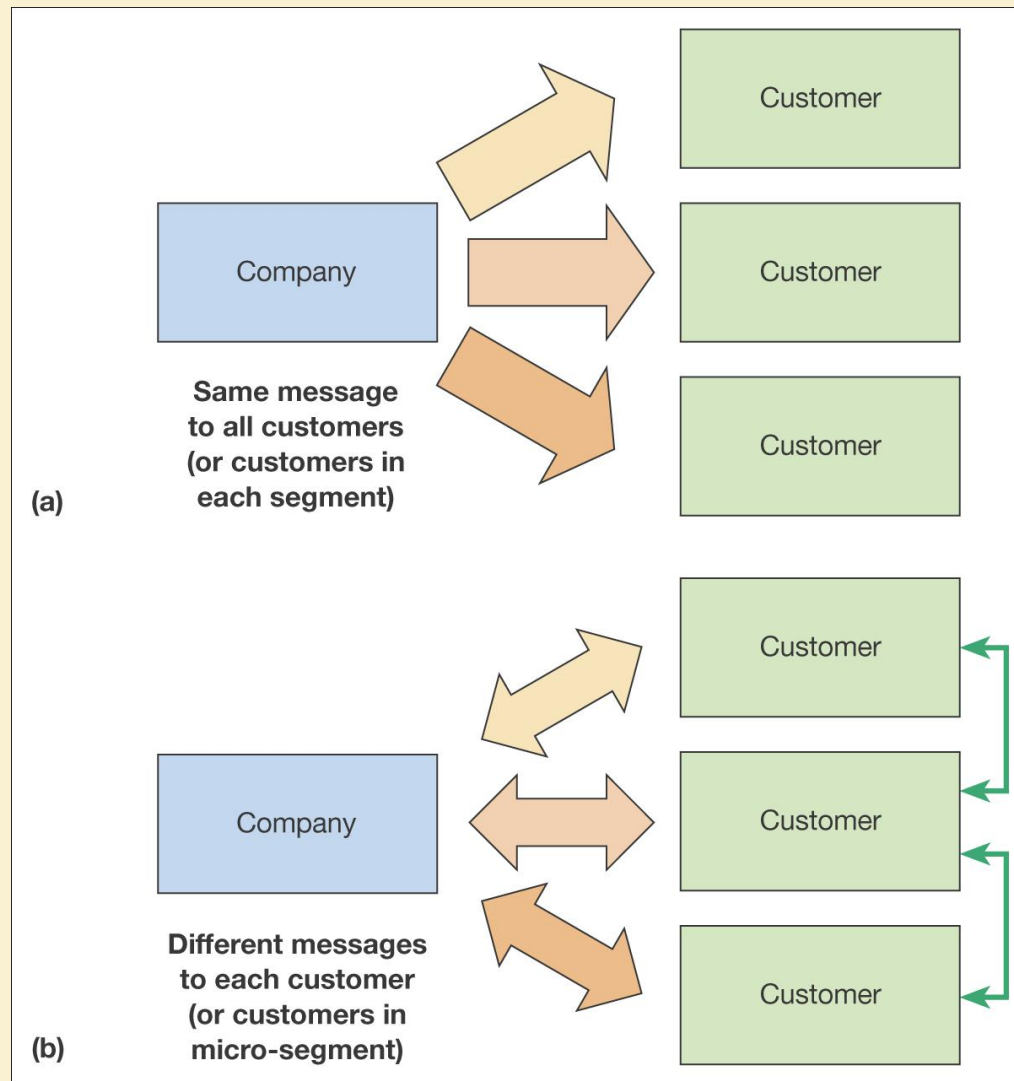


Figure 8.16 Summary of degree of individualization for (a) traditional media (same message), (b) new media (unique messages and more information exchange between customers)

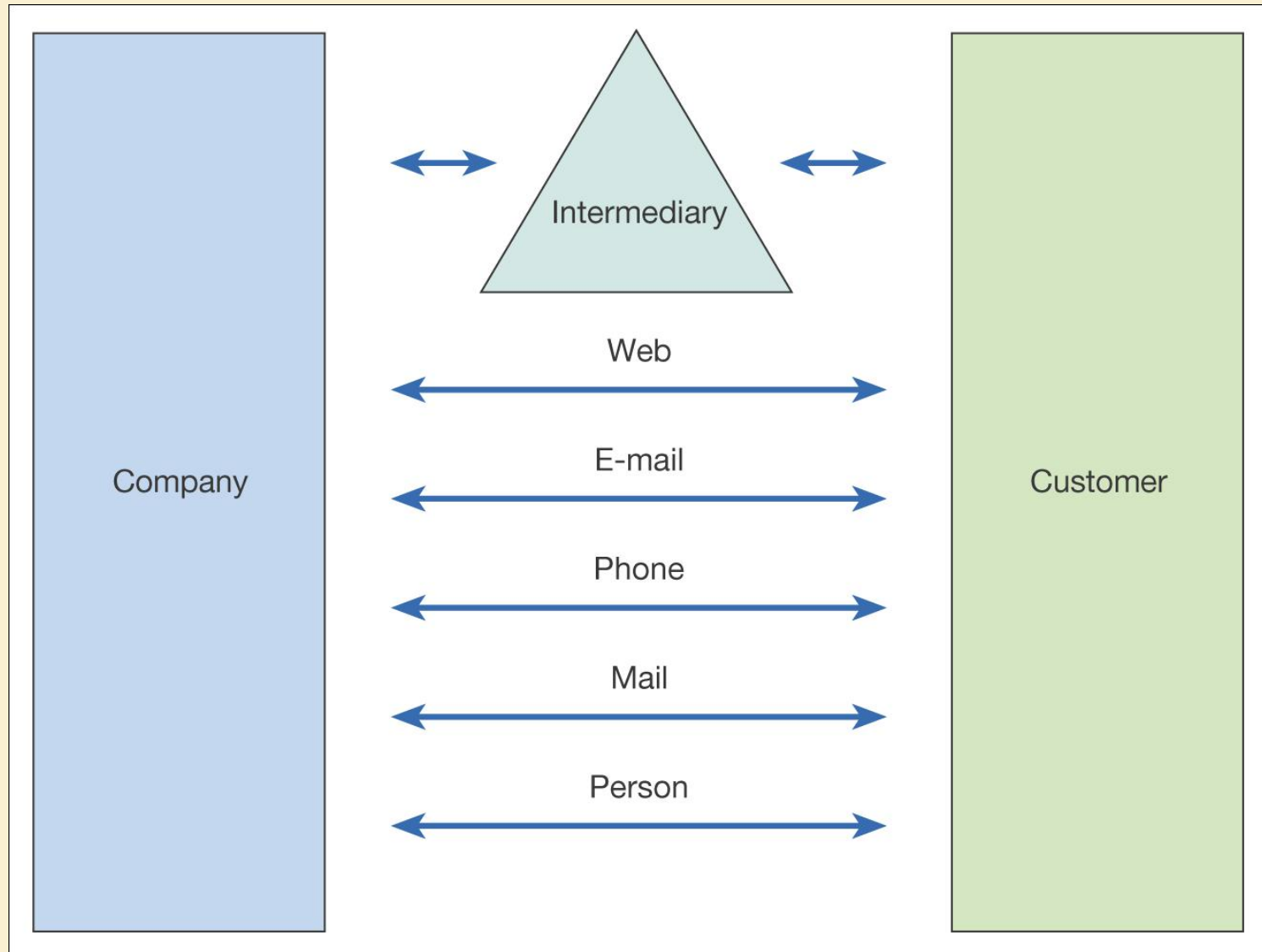


Figure 8.17 Channels requiring integration as part of integrated e-marketing strategy

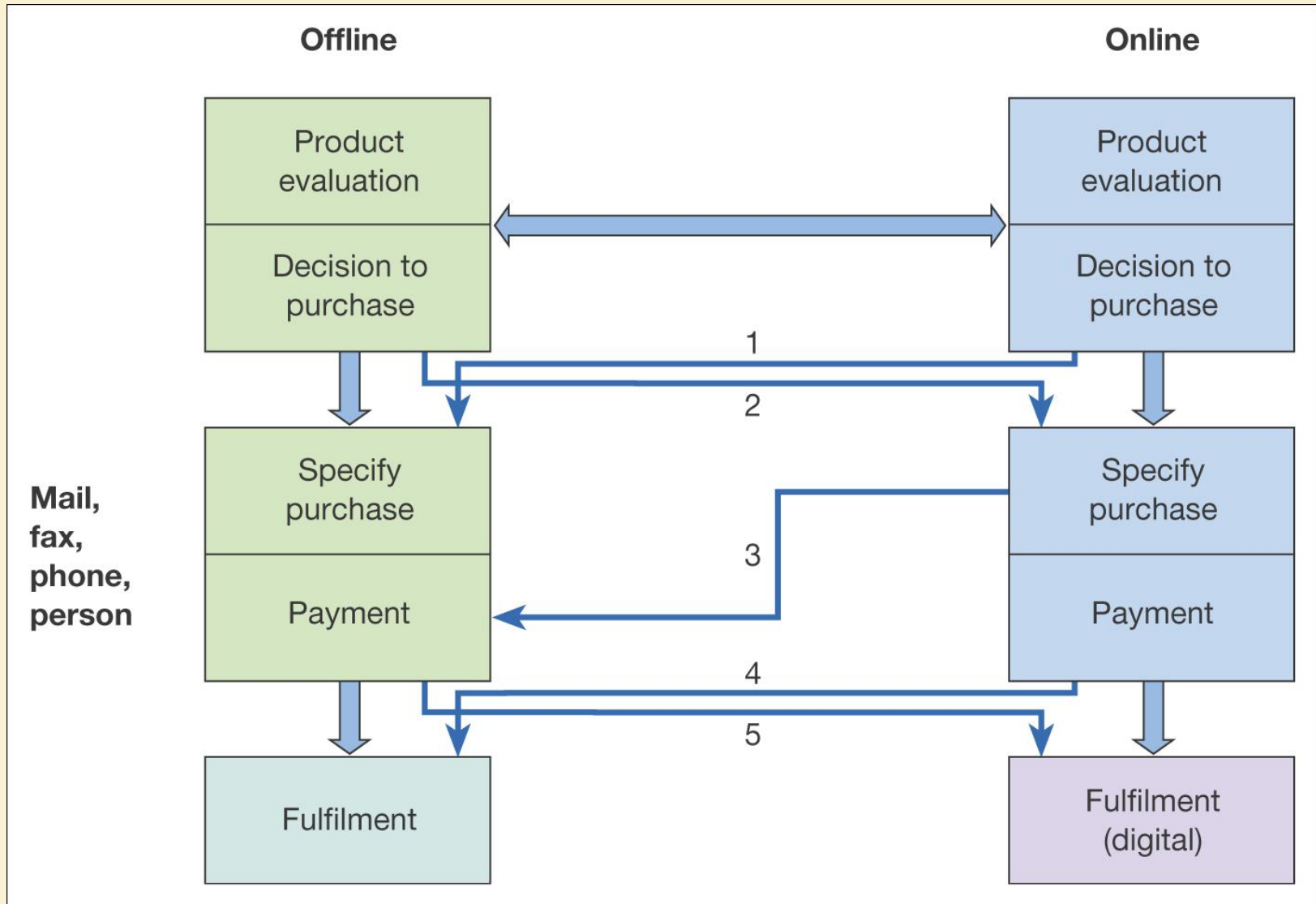


Figure 8.18 Channel integration required for e-marketing and mixed-mode buying

Using the Internet to vary the marketing mix

Product

- Quality
- Image
- Branding
- Features
- Variants
- Mix
- Support
- Customer service
- Use occasion
- Availability
- Warranties

Promotion

- Marketing communications
- Personal promotion
- Sales promotion
- PR
- Branding
- Direct marketing

Price

- Positioning
- List
- Discounts
- Credit
- Payment methods
- Free or value-added elements

Place

- Trade channels
- Sales support
- Channel number
- Segmented channels

People

- Individuals on marketing activities
- Individuals on customer contact
- Recruitment
- Culture/image
- Training and skills
- Remuneration

Process

- Customer focus
- Business-led
- IT-supported
- Design features
- Research and development

Physical evidence

- Sales/staff contact experience of brand
- Product packaging
- Online experience

Figure 8.19 The elements of the marketing mix

Issues With Varying The Mix Online

- Do we vary the mix online or replicate offline?
- Is the offer clear – brand proposition, online offer?
- Is online differentiation defined?
- Is online differentiation communicated?
- Key online mix variables
 - Product
 - Price
 - Place
 - Promotion
 - Service: People, Process, Physical evidence

Online Mix Options

- Product
 - Extend range (Tesco)
 - Narrow range (WH Smith iDTV)
 - Online-only products (banks)
 - Develop new brand (Egg)
 - Migrate existing brand (HSBC)
 - Partner with online brand (Waterstones and Amazon)

Online Mix Options (Continued)

- Price
 - Differential pricing:
 - Reduce online prices due to price transparency and competition (easyJet)
 - Maintain price to avoid cannibalization of offline sales (Dixon)
 - New pricing options (software, music):
 - Rental
 - Pay per use
 - Reverse auctions (B2B)
 - Dynamic pricing (Concert tickets)

Online Mix Options (Continued)

- Place = avoiding channel conflicts
 - Disintermediation – sell direct
 - Reintermediation – partner with new intermediaries
 - Countermediation:
 - Form new intermediaries
 - Partner with existing intermediaries
 - Distance from intermediaries (Abbey National)

Online Mix Options (Continued)

- Promotion
 - Selective use of new online tools for different stages of the buying process and customer lifecycle
 - Online only campaigns
 - Integrated campaigns – incorporating online tools into communications mix

Online Mix Options (Continued)

- Service
 - People
 - Automate – use web self-service, offer customer choice
 - Process
 - Change process for service – contact strategies
 - Physical evidence
 - Site design – differentiate or support brand
 - Fulfilment quality

Varying The Mix - Supermarkets

Mix	Tactics applied online
Product	
Price	
Place	
Promotion	
+Service	

www.tesco.com, www.sainsburystoyou.co.uk, www.waitrose.com

Varying The Mix - Airlines

Mix	Tactics applied online
Product	
Price	
Place	
Promotion	
+Service	

www.ryanair.com, www.easyjet.com, www.ba.com

Branding

Leslie de Chernatony and Malcolm McDonald described 'brand' in their classic 1992 book, *Creating Powerful Brands*, as

'an identifiable product or service augmented in such a way that the buyer or user perceives relevant unique added values which match their needs most closely. Furthermore, its success results from being able to sustain these added values in the face of competition.'

Aaker – Brand Equity

- *Brand awareness*
- *Perceived quality*
- *Brand associations*
- *Brand loyalty*

How can these be enhanced online for the B2C Company?

**Traditional measures of brand equity
(Aaker and Joachimsthaler, 2000)**

Price premium
Satisfaction/loyalty
Perceived quality
Leadership popularity
Perceived value
Brand personality
Organizational associations
Brand awareness
Market share
Market price and distribution coverage

**Online measures of brand equity
(from Christodoulides and de Chernatony, 2004)**

Online brand experience
Interactivity
Customization
Relevance
Site design
Customer service
Order fulfilment
Quality of brand relationships
Communities
Web-site logs (see *Chapter 9*)

Table 8.9 Traditional measures of brand equity and online measures of brand equity

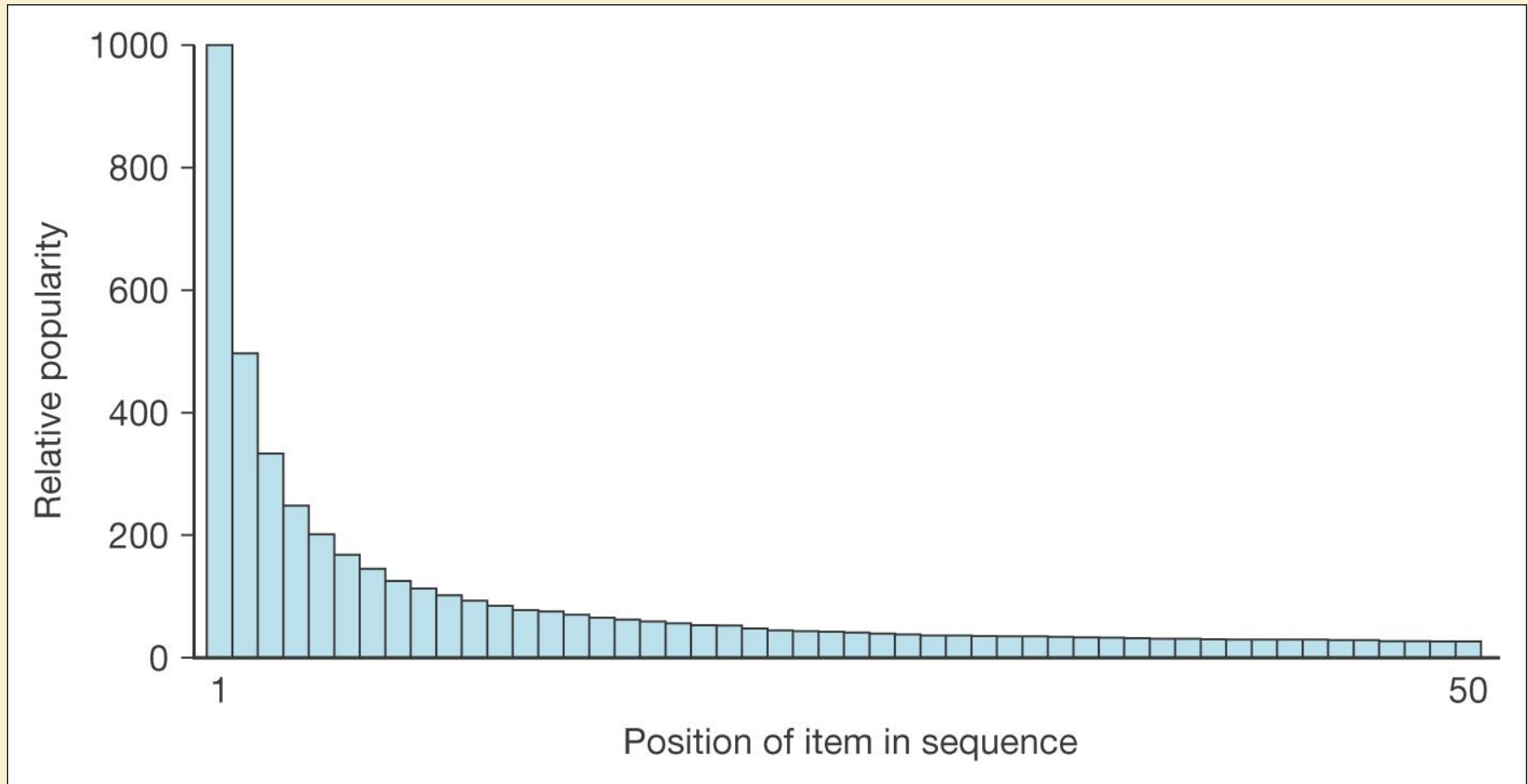


Figure 8.20 Zipf's law, showing decrease in popularity of items within an ordered sequence

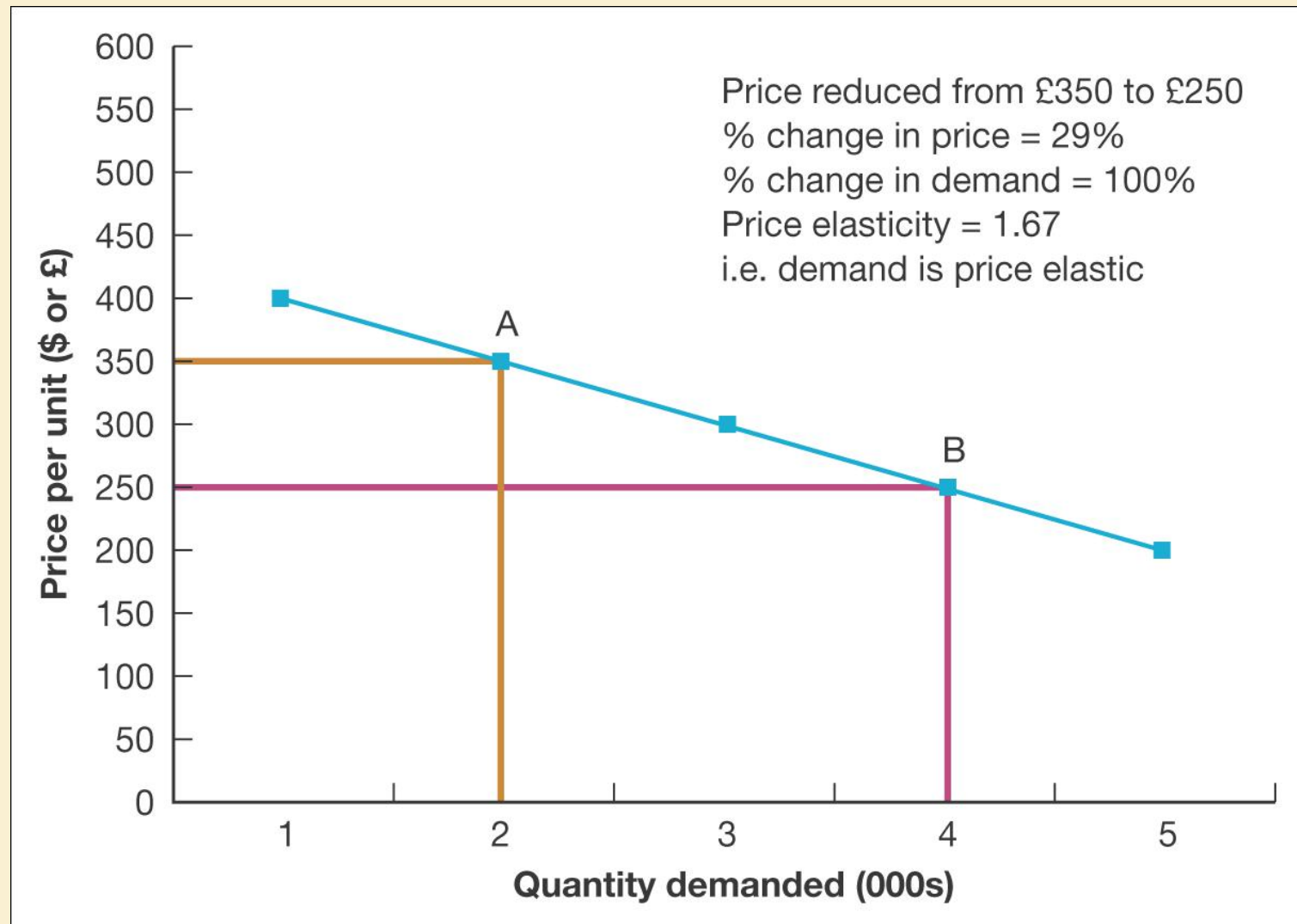


Figure 8.21 Price elasticity of demand for a relatively elastic product

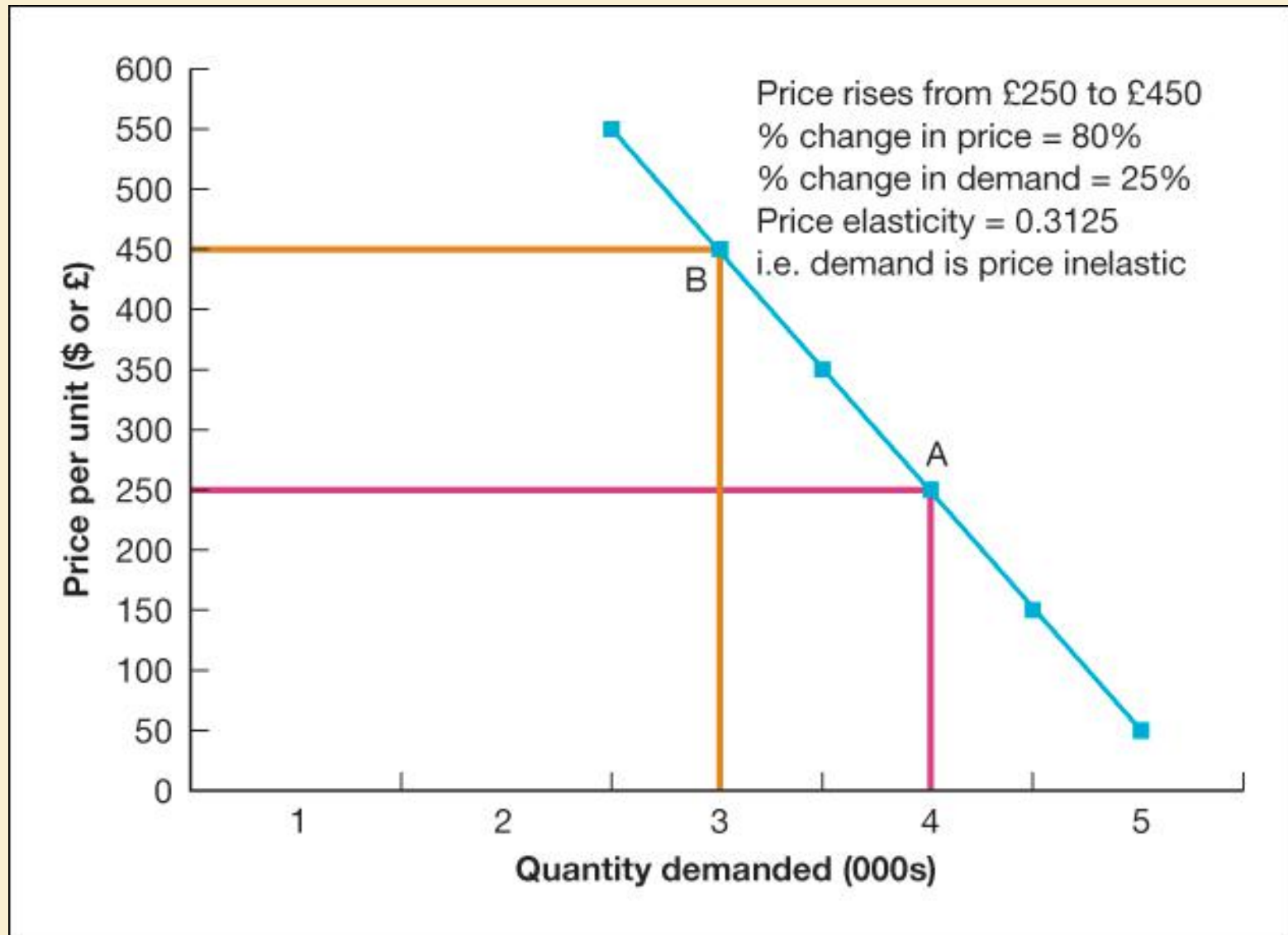


Figure 8.22 Price elasticity of demand for a relatively inelastic product

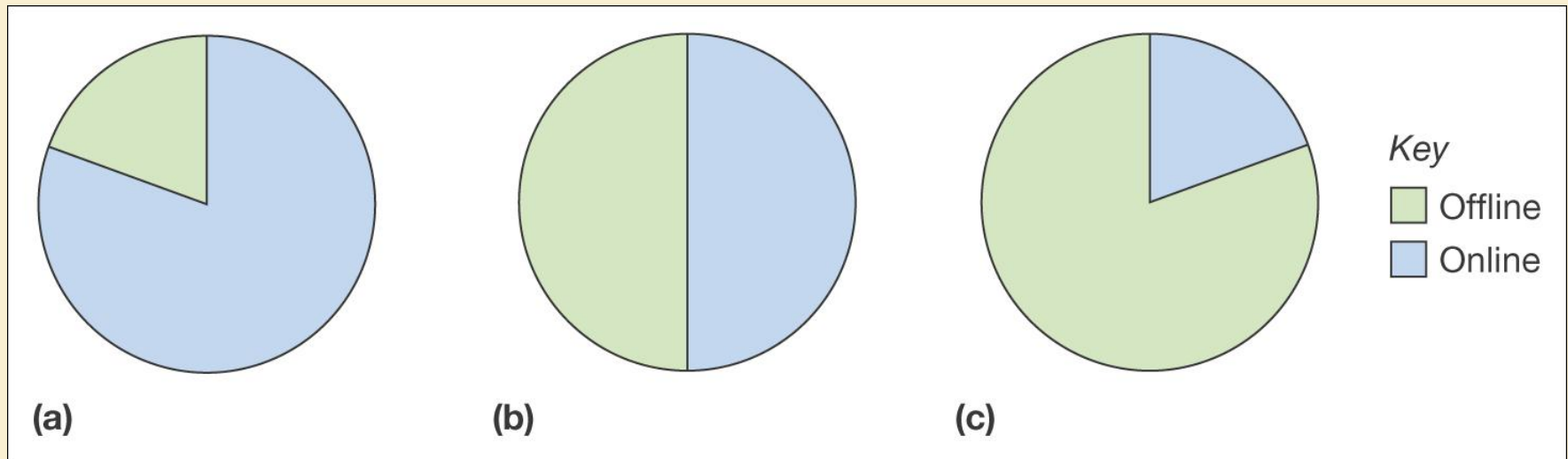


Figure 8.23 Options for the online vs offline communications mix (a) online > offline, (b) similar online and offline, (c) offline > online

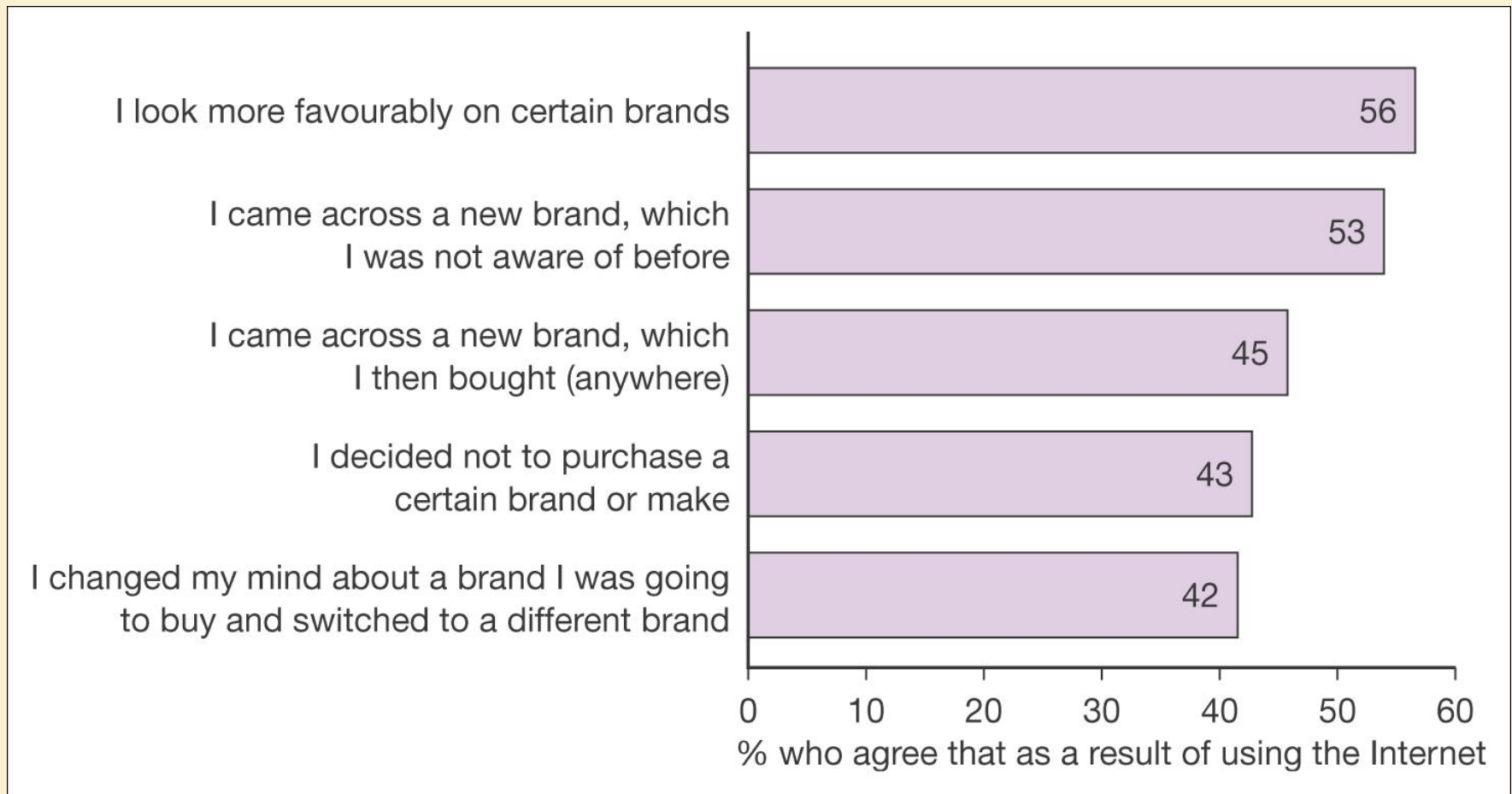


Figure 8.24 Changes to brand perception and behaviour as a result of using the Internet for research

Source: BrandNewWorld: AOL UK/Anne Molen (Cranfield School of Management)/Henley Centre, 2004

When buying online, I will buy a product if...				
I am familiar with the retailer	Yes	Yes	No	No
I am familiar with the product brand	Yes	No	Yes	No
	90%	82%	54%	13%

Figure 8.25 The influence of brand knowledge on purchase. Matrix for question 'I will buy a product if ...'

Source: BrandNewWorld: AOL UK/Anne Molen (Cranfield School of Management)/Henley Centre, 2004



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Figure 8.26 Napster

Source: www.napster.co.uk